Rapid devaluation of currency and below-average harvest drive high food costs

Key Messages

- Despite the recently concluded 2021/2022 harvest, many Sudanese households continue to face Crisis (IPC Phase 3) or worse outcomes. The atypically high need this year is driven by a below-average harvest, deteriorating macroeconomic conditions, reduced government ability to import good and staple foods, and the extremely high prices of staple and non-staple food items, which are significantly limiting household purchasing power, along with the impact of continued conflict, displacement, and political instability. Areas of concern include conflict-affected areas in Darfur, North and South Kordofan, southern Blue Nile, and market-dependent poor households in northern Kassala and the Red Sea state. Household food insecurity is expected to increase through the upcoming lean season, with concern that Emergency (IPC Phase 4) outcomes could emerge among the worst-affected households as staple food prices increase and household purchasing power continues to decline.

- According to the annual **Crop and Food Supply Assessment Mission** (CFSAM) report published in March 2022, national cereal production for the 2021/22 main agricultural season was below average due to high production costs constraining input availability and access, along with damage from weeds, pests, and diseases. Total cereal production is estimated at around 5.1 million metric tons, including 3.5 million tons of sorghum, 0.9 million tons of millet, and around 600,000 tons of wheat forecast to be harvested in March 2022. This is approximately 37 percent below production last year (8.1 million metric tons) and 33 percent below the five-year average (7.5 million tons).

- Sudan is expected to face a significant cereal supply gap in 2022. The estimated 5.1 million tons of cereal harvested in the 2021/2022 season will cover about 65 percent of the estimated 7.6 million tons of cereal Sudan typically requires. Import requirements for January-December 2022 are forecast to be around 2.5 million tons, particularly for wheat and some sorghum. This is almost 24 percent more than last year and 35 percent higher than the five-year average. The estimated cereal deficit is typically covered by commercial imports and partly from humanitarian assistance. However, a depreciating SDG and increasing international wheat and energy prices, in part due to the ongoing war in Ukraine, are likely to limit Sudan's ability to meet import needs. Additional analysis will be provided in FEWS NET's April Food Security Outcome Update (FSOU) report.

- Sudan's macroeconomic situation has deteriorated since the overthrow of the transitional civilian government in October 2021 and the cessation of international economic support. On March 8, 2022, the government floated the SDG. Following the liberalization of the currency, the SDG rapidly depreciated, with the parallel market exchange rate trading at 650-690 SDG/USD compared to 448-452 SDG/USD in October 2021. This has resulted in price increases for imported goods, electricity, fuel, cooking gas, and medicine. In mid—March 2022, the government announced the third fuel price increase in a month. Fuel prices are almost 60 percent above prices in mid-February 2022, 85 percent above fuel prices in October 2021, and 415-450 percent above fuel prices in February 2021.

- Cereal retail prices have continued to increase between February and March 2022, atypical for the harvest and post-harvest periods. Prices have increased by 20-30 percent in most main production and consumption markets and are 110-120 percent higher than in March 2021 and 500-700 percent higher than the five-year average. According to FEWS NET's price projection, cereal prices are anticipated to continue to increase through September 2022 and are expected to be almost twice the prices of last year and over seven times above the five-year average. Increasing food prices will increase household expenditure to reduce food consumption gaps and further limit the purchasing power of poor households.

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* FEWS NET's classifications are IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners. As of IPC 3.0, the IPC no longer assesses the impact of food assistance on classification and thus no longer maps the (!). However, FEWS NET continues to produce food security maps inclusive of the (!) as well as maps compatible with IPC 3.0/3.1, which include the mapping of food security assistance bags. FEWS NET and the IPC use different methods to estimate the total Population in Need of humanitarian food assistance and assess the risk of Famine. Learn more at **www.fews.net/about**.

Key Message Update

This Key Message Update provides a high-level analysis of current acute food insecurity conditions and any changes to FEWS NET's latest projection of acute food insecurity outcomes in the specified geography. Learn more **here**.